OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Steve Prothero asks Shoalhaven Council to disclose full tourism marketing costs

Sent 24 June 2026 · To Shoalhaven City Council · Response requested by 15 July 2026

Andrew Constance
Chief Executive Officer
Shoalhaven City Council
36 Bridge Road, Nowra NSW 2541

NOTE TO COUNCILLORS -
The questions raised in the attached article and letter to the CEO are not simply about a travel guide going digital. They point to a broader gap in how Council accounts for discretionary spending that primarily benefits private operators.

Tourism and destination marketing is a legitimate function — but ratepayers are currently unable to identify what it costs, what it returns, or why the industry that benefits most contributes the least. Councillors are well placed to address this strategically:

- **through a formal question to the CEO requesting a full cost disclosure for the tourism function;**
- **a review of whether the removal of advertising revenue from the travel guide was accompanied by a financial impact assessment; and**
- **a policy position on whether a co-funding model — with tourism industry contribution toward campaign costs — should be developed as part of the next Tourism and Economic Development Strategy.**

This is not about cutting tourism. It is about ensuring that public money spent on private benefit is transparent, proportionate, and subject to the same accountability standards as every other Council function.

Dear Mr Constance,
I write in the knowledge that correspondence from this publication has, in recent months, been declined on the basis of guidance relating to unreasonable conduct. I note, for the record, that the application of that guidance to a public interest publication with more than 3,800 local readers is itself a matter currently before the NSW Ombudsman. The questions in this letter are not personal complaints. They are questions of public administration, put openly, on behalf of a readership that represents approximately 5.1 per cent of Shoalhaven's registered voters. They are questions any member of the public could put at an ordinary council meeting. I put them here, in writing, on the public record — and will publish whatever response is received, including none.

Shoalhaven City Council describes its Tourism team as the region's Destination Marketing Organisation. The 2025–26 Delivery Program confirms the team drives off-season campaigns, manages visitor servicing, supports events and operates Shoalhaven.com as a regional marketing platform. Council has also recently announced that the annual Shoalhaven Travel Guide will transition to a digital format in 2027, and that advertising placements will no longer be accepted in the guide.

These are significant decisions affecting how public money is spent and who bears the cost. In response to questions I put to Council in early 2025 (Council reference 3055E), I was advised that

the tourism budget is unable to be extracted from the activity of the team who work across all industries and many areas of responsibility."

I accept that operational budgets are sometimes blended across functions. However, the public interest in understanding what ratepayers are paying for a discretionary marketing operation is substantial. I therefore ask Council to provide responses to the following questions on the public record.

Questions about tourism costs

1. What is the total annual operating cost of the Tourism and Economic Development function for the financial year 2024–25 and the budgeted figure for 2025–26, broken down to the extent possible across the following categories:

- Staff costs (salary and on-costs) for roles whose duties include tourism marketing, visitor services, destination promotion, or the production and management of tourism content and publications
- Contractor and consultancy fees
- Photography, video and content production
- Website hosting, licences and technical support for Shoalhaven.com
- Paid campaigns, digital advertising and media placement
- Print production and distribution of the Shoalhaven Travel Guide and related publications
- Events support attributable to tourism promotion

1. What was the total cost of producing, printing and distributing the Shoalhaven Travel Guide in each of the last five financial years (2019–20 to 2024–25)?
2. What was the total advertising revenue received from the Shoalhaven Travel Guide in each of those same years?
3. What financial impact assessment was conducted before Council decided to remove advertising placements from the guide? What was the estimated annual revenue foregone, and how will that cost be met?

Questions about the digital transition

5. What is the estimated cost of transitioning the travel guide to a digital format, including platform development or upgrade, design, content migration, photography, accessibility compliance and technical integration with Shoalhaven.com?
6. What is the estimated annual operating cost of the digital platform once established, including hosting, licences, content updates, SEO, analytics and staff time?
7. Will the digital guide generate any direct revenue — through advertising, sponsored listings, partnerships or other means? If so, what is the projected annual income? If not, why has Council ruled out revenue generation, given the removal of print advertising?

Questions about performance and accountability

8. What performance measures will Council publish to demonstrate the return on ratepayer investment in tourism marketing? Please specify whether the following metrics will be publicly reported on a regular basis:

- Total unique users to Shoalhaven.com
- Referrals from council platforms to tourism operator listings
- Visitor guide downloads or digital engagements
- Off-season visitation data
- Economic return per dollar invested in marketing
- Industry satisfaction with council tourism services

1. The February 2025 response to my earlier questions stated that Council is "unable to identify the proportion of business rates from citizen rates income." Is Council now in a position to provide that breakdown, or to estimate the direct financial contribution tourism businesses make to the general rates pool?

Questions about industry co-funding

1. Has Council considered, or is it currently considering, a formal co-funding model in which tourism businesses or industry bodies contribute financially to the costs of destination marketing and visitor servicing? If so, what options have been assessed? If not, why not?
2. Council's response to my previous questions noted that "all business owners are ratepayers but also pay business rates which significantly contribute to Council's income." I accept this. However, the direct beneficiaries of destination marketing are a subset of ratepayers — predominantly accommodation providers, restaurants, event venues and tourism operators — who receive a specific commercial benefit not shared proportionately by all ratepayers. Given this, what is Council's position on whether a sectoral contribution from tourism operators is appropriate?
3. Council documents show Destination NSW has previously matched local government tourism investment in collaborative off-season campaigns. What is the current level

of Destination NSW co-funding for Shoalhaven tourism activities, and has this changed since 2020?

I recognise these are detailed questions. I am not seeking a response to each in a single letter. I am asking that Council treat them as a public record of the information ratepayers are entitled to, and respond as fully and promptly as circumstances allow.

The Eye on Shoalhaven Council reaches more than 3,800 local readers. Tourism is an ongoing topic of significant community interest. I will publish Council's response, or note the absence of one, in a forthcoming article.

I look forward to Council's response.

Yours faithfully,
Steve Prothero
Eye on Shoalhaven Council
eyeonshoalhaven.substack.com

This is an open letter and will be published on Eye on Shoalhaven Council. Council's response, in full, or a note that no response was received, will be published alongside it.
